

Yaskawa Electric

Maintaining Buy: Solving core system issues could be a catalyst

Lowering price target to ¥7,060, reiterating Buy rating

We are lowering our earnings forecasts, target multiple, and price target from ¥8,000 to ¥7,060. We believe the share price correction resulting from temporary production disruptions associated with the core system migration in Q1 has made the valuation more attractive. We reiterate our Buy rating on the expectation for earnings growth driven by production ramp-up efforts once the core system issues are resolved.

Resolution of core system issues could be a near-term share price catalyst

Q1 FY2/27 OP came to ¥8.5bn (-19% yoy), significantly below our estimate of ¥14.2bn, mainly due to weak production and sales caused by the core system migration. The results were a negative surprise and the share price fell sharply as investor sentiment deteriorated. The current share price is roughly 20% below the closing price of ¥6,972 on the day of the results announcement. However, operating levels have been improving since hitting bottom in May, and we think that confirmation that the problems have been fixed along with Q2 results could lead to a re-rating of the shares.

Demand conditions favourable, see substantial earnings growth potential after production returns to normal

As demand conditions improved, particularly in semiconductor, data centre and general industry applications, Q1 orders increased significantly to ¥163.8bn (+29% yoy). The company plans to ramp up production from H2 and strengthen its ability to capture demand. Production capacity has been expanded as a result of past investments and operating rates had been relatively low, around 70-80% in Q4 FY2/26, before the core system issues emerged. We believe there is significant scope for earnings expansion once production returns to normal through higher operating rates and sales volumes.

Lowering our earnings forecasts, but expecting substantial profit growth in FY2/28

We are reducing our OP forecasts from ¥72.1bn to ¥61.4bn for FY2/27, from ¥87.3bn to ¥84.1bn for FY2/28 and from ¥98.0bn to ¥94.3bn for FY2/29. Relative to our previous forecasts, we (1) revise our forex assumptions from ¥150/\$ to ¥160/\$ and from ¥21/RMB to ¥23/RMB from Q2, and (2) lower our earnings forecasts for motion control and robotics due to disruption from the core system issues, resulting in overall downward revisions (for details, see page 6). For FY2/27, we expect weak earnings in Q2 but believe full-year guidance is still achievable with support from forex and improvement in earnings as production returns to normal from H2. We expect substantial profit growth in FY2/28 as sales expansion gains momentum.

Valuation:

Our price target is based on a FY2/28E PER of 30X. Previously, we used a PER of 33X, the average peak multiple during the expanding upcycles of FY2/17-18 and FY2/23-24. As

Equities

Japan

Factory Equipment

12-month rating **Buy**

12m price target **¥7,060**
Prior : ¥8,000

Price (17 Aug 2026) **¥5,472**

RIC: 6506.T BBG: 6506.JP

Trading data and key metrics

52-wk range	¥7,655-2,867
Market cap.	¥1,419b/US\$8.92b
Shares o/s	259m (ORD)
Free float	96%
Avg. daily volume ('000)	6,134
Avg. daily value (m)	¥37,397.3
Common s/h equity (02/27E)	¥510b
P/BV (02/27E)	2.8x
Net debt to EBITDA (02/27E)	0.7x

EPS (reported, basic) (¥)

	From	To	% ch	Cons.
02/27E	199.3	172.0	-14	185.4
02/28E	242.5	235.2	-3	225.7
02/29E	271.4	263.0	-3	253.3

Tsubasa Sasaki

Analyst

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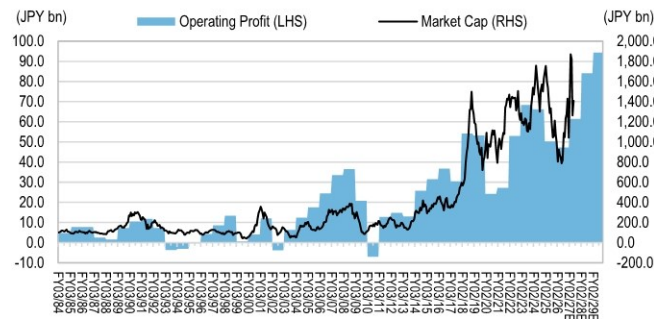
+813-5208 6207

Highlights (¥b)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
Revenues	575.7	537.7	542.1	602.5	657.9	689.5	721.0	754.3
Operating profit	66.2	50.2	47.3	61.4	84.1	94.3	105.3	116.8
Pre-tax profit	69.1	78.5	49.6	61.2	83.8	93.7	105.5	118.2
Net profit (reported)	50.7	57.0	35.2	44.6	61.0	68.2	76.8	86.0
EPS (reported, basic) (¥)	193.9	218.6	135.9	172.0	235.2	263.0	296.1	331.6
Profitability/valuation	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
EBIT (UBS) margin %	11.5	9.3	8.7	10.2	12.8	13.7	14.6	15.5
ROIC (EBIT) %	16.6	11.9	10.5	12.4	15.7	16.5	17.8	19.1
EV/EBITDA (UBS core) x	17.4	19.2	14.4	16.2	12.6	11.3	10.3	9.5
P/E (reported, basic) x	29.6	23.5	27.9	31.8	23.3	20.8	18.5	16.5
Dividend yield (net) %	1.1	1.3	1.8	1.3	1.5	1.7	1.9	2.1

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of ¥ 5,472 on 17-Aug-2026

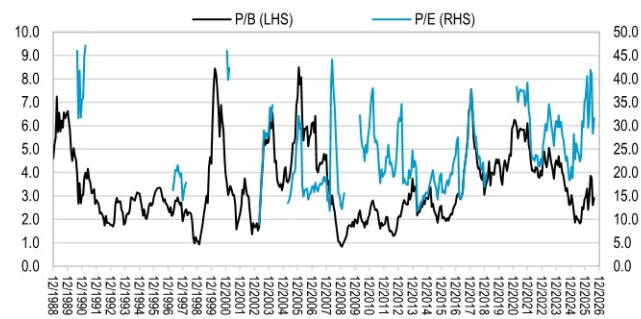
we believe the company is entering a phase where earnings will have a greater influence on its share price, we adopt a PER of 30X, the average multiple across FY2/17-18 and FY2/23-24.

Figure 1: OP and market cap



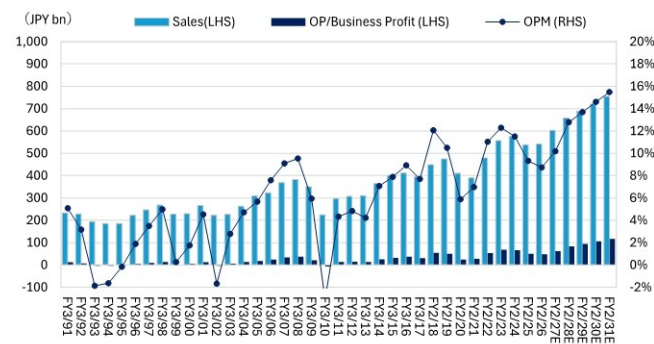
Source: Company data, UBS estimates

Figure 2: PER and PBR



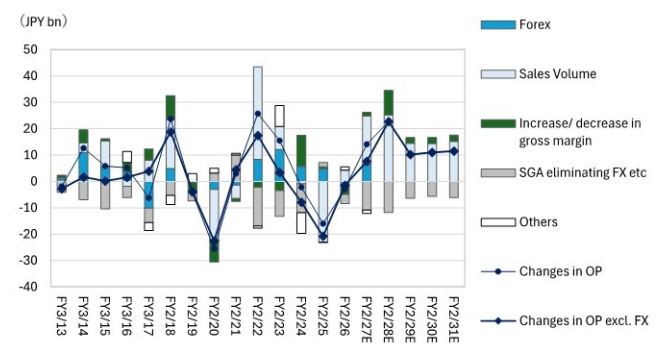
Source: Company data, UBS

Figure 3: Sales, OP, OPM



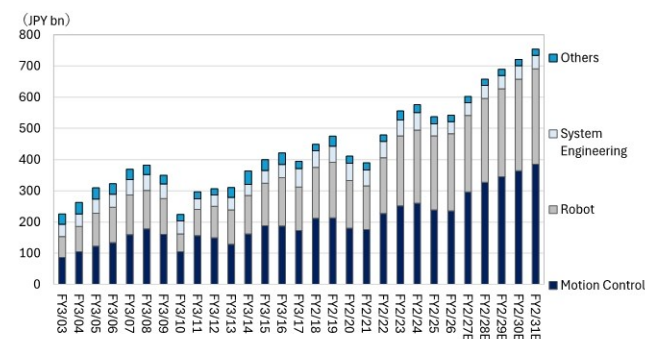
Source: Company data, UBS estimates

Figure 4: Factors behind OP growth



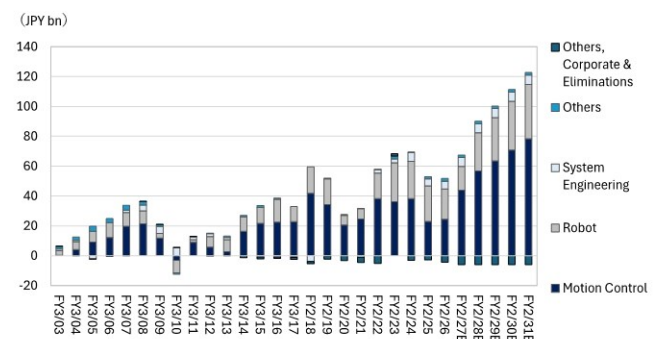
Source: Company data, UBS estimates

Figure 5: Sales by segment



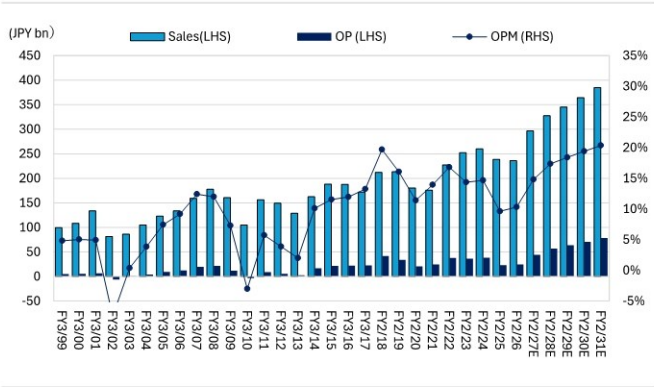
Source: Company data, UBS estimates

Figure 6: OP by segment



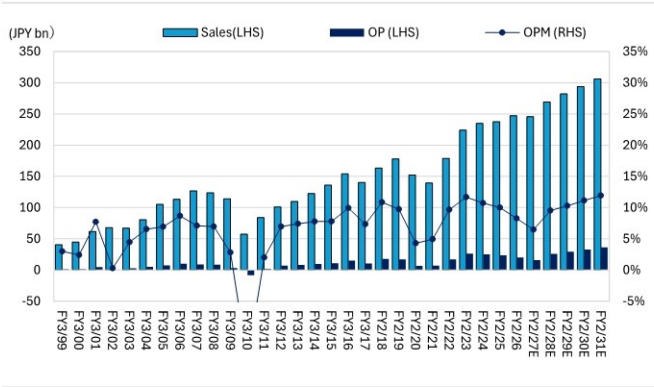
Source: Company data, UBS estimates

Figure 7: Motion control sales, OP, OPM



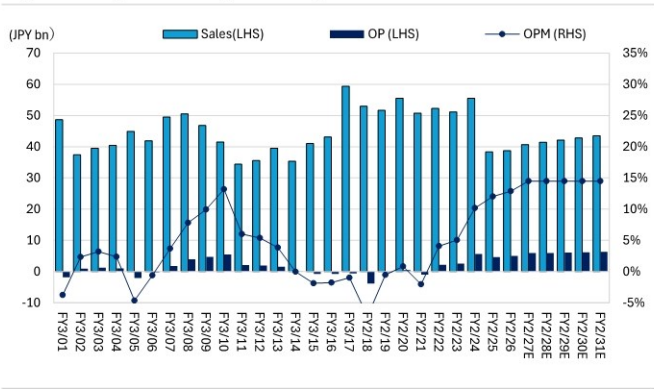
Source: Company data, UBS estimates

Figure 8: Robot sales, OP, and OPM



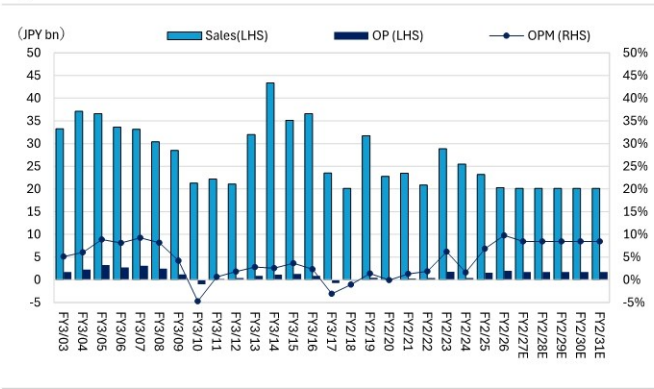
Source: Company data, UBS estimates

Figure 9: System engineering sales, OP, and OPM



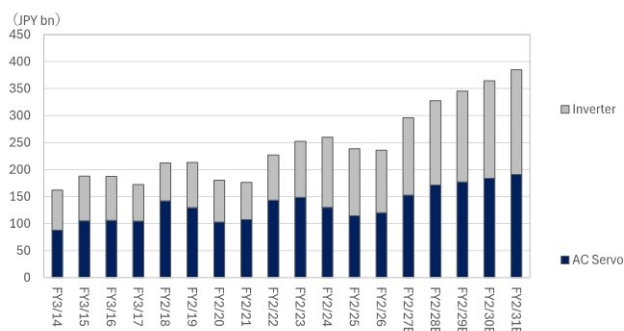
Source: Company data, UBS estimates

Figure 10: Sales, OP, and OPM for others



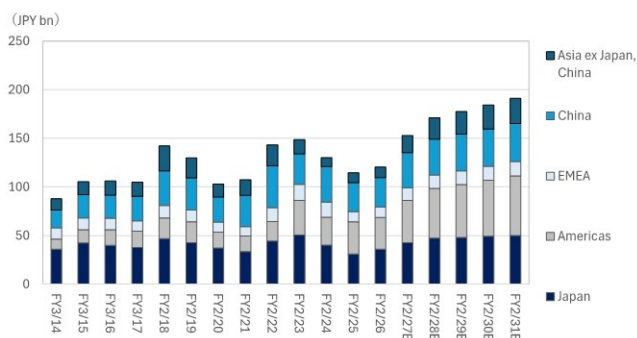
Source: Company data, UBS estimates

Figure 11: Motion control sales by product



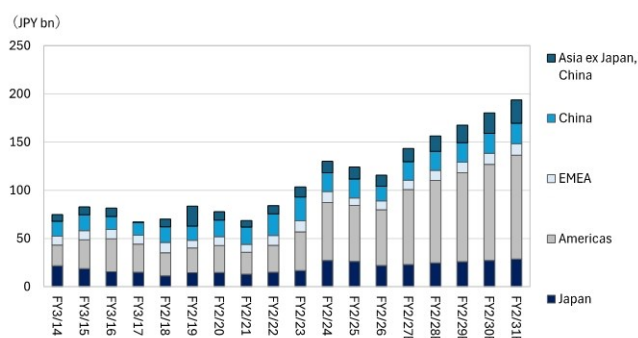
Source: Company data, UBS estimates

Figure 12: AC servo sales by region



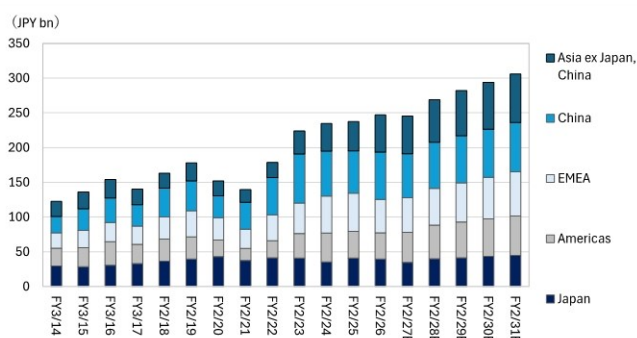
Source: Company data, UBS estimates

Figure 13: Inverter sales by region



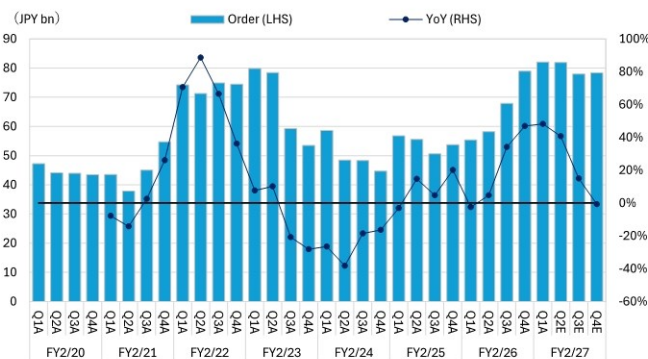
Source: Company data, UBS estimates

Figure 14: Robot sales by region



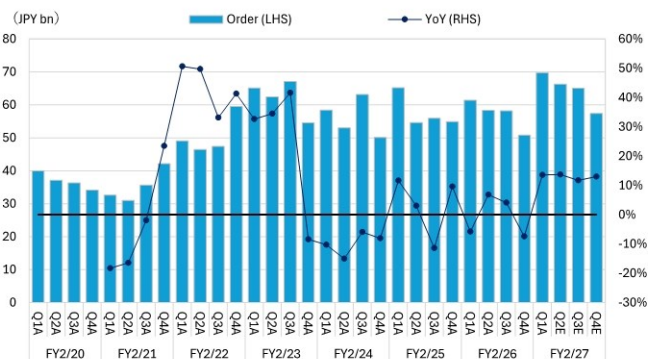
Source: Company data, UBS estimates

Figure 15: Motion control quarterly orders



Source: Company data, UBS estimates

Figure 16: Robot quarterly orders



Source: Company data, UBS estimates

Figure 17: Full-year earnings forecast summary

(JPY bn)	FY2/24	FY2/25	FY2/26	FY2/27E New	FY2/28E New	FY2/29E New	FY2/30E New	FY2/31E New	FY2/27E Old	FY2/28E Old	FY2/29E Old	FY2/30E Old	FY2/31E Old	FY2/27CoE	FY2/28CoE	FY2/30CoE
Sales	575.7	537.7	542.1	602.5	657.9	689.5	721.0	754.3	598.9	650.3	682.9	715.6	750.2	580.0	600.0	650.0
(YoY)	3.5%	-6.6%	0.8%	11.1%	9.2%	4.8%	4.6%	4.6%	10.5%	8.6%	5.0%	4.8%	4.8%	7.0%	3.4%	
Sales by segment																
Motion Control	260.0	238.8	236.1	296.3	327.5	345.2	364.3	384.8	288.3	319.2	337.8	357.9	379.5	280.0	290.0	300.0
AC Servo	130.0	114.6	120.4	152.8	171.2	177.5	184.1	190.9	150.0	168.4	175.9	183.9	192.3			
Inverter	130.0	124.2	115.7	143.5	156.3	167.7	180.2	193.9	138.3	150.8	161.9	174.0	187.2			
Robot	234.7	237.4	247.0	245.4	268.9	282.1	293.8	305.9	250.6	270.4	283.7	295.6	307.9	240.0	250.0	290.0
System Engineering	55.5	38.4	38.7	40.7	41.4	42.1	42.8	43.5	40.0	40.7	41.4	42.1	42.8	40.0	40.0	40.0
Others	25.5	23.2	20.3	20.1	20.1	20.1	20.1	20.1	20.0	20.0	20.0	20.0	20.0	20.0	20.0	20.0
(YoY)																
Motion Control	3.1%	-8.2%	-1.1%	25.5%	10.5%	5.4%	5.5%	5.6%	22.1%	10.7%	5.8%	6.0%	6.0%	18.6%	3.6%	
AC Servo	-12.6%	-11.9%	5.0%	26.9%	12.0%	3.7%	3.7%	3.7%	24.6%	12.3%	4.5%	4.5%	4.6%			
Inverter	25.8%	-4.5%	-6.8%	24.1%	8.9%	7.3%	7.5%	7.6%	19.6%	9.0%	7.4%	7.5%	7.6%			
Robot	4.8%	1.2%	4.0%	-0.7%	9.6%	4.9%	4.1%	4.1%	1.5%	7.9%	4.9%	4.2%	4.2%	-2.8%	4.2%	
System Engineering	8.5%	-30.8%	1.0%	5.0%	1.7%	1.7%	1.7%	1.6%	3.2%	1.8%	1.7%	1.7%	1.7%	3.2%	0.0%	
Others	-11.8%	-5.1%	-12.3%	-1.0%	0.0%	0.0%	0.0%	0.0%	-1.5%	0.0%	0.0%	0.0%	0.0%	-1.5%	0.0%	
Order	500.4	508.6	552.4	630.5	674.9	709.7	746.4	785.1	609.1	652.6	686.1	721.5	758.8			
(YoY)	-18.8%	1.6%	8.6%	15.8%	5.5%	5.2%	5.2%	5.2%	10.3%	7.1%	5.1%	5.2%	5.2%			
Order by segment																
Motion Control	200.1	216.7	260.4	320.3	339.5	359.9	381.5	404.4	302.1	320.2	339.4	359.8	381.4			
Robot	224.6	230.6	228.7	258.4	273.9	287.6	302.0	317.1	247.0	271.7	285.3	299.6	314.6			
System Engineering	51.1	38.1	42.7	40.7	41.4	42.1	42.8	43.5	40.0	40.7	41.4	42.1	42.8			
Others	24.6	23.2	20.6	20.1	20.1	20.1	20.1	20.1	20.0	20.0	20.0	20.0	20.0			
(YoY)																
Motion Control	-26.2%	8.3%	20.2%	23.0%	6.0%	6.0%	6.0%	6.0%	16.0%	6.0%	6.0%	6.0%	6.0%			
Robot	-9.8%	2.7%	-0.8%	13.0%	6.0%	5.0%	5.0%	5.0%	8.0%	10.0%	5.0%	5.0%	5.0%			
System Engineering	-22.9%	-25.4%	12.1%	-4.7%	1.7%	1.7%	1.7%	1.6%	-6.3%	1.8%	1.7%	1.7%	1.7%			
Others	-18.3%	-5.7%	-11.2%	-2.4%	0.0%	0.0%	0.0%	0.0%	-2.9%	0.0%	0.0%	0.0%	0.0%			
Operating Profit	66.2	50.2	47.3	61.4	84.1	94.3	105.3	116.8	72.1	87.3	98.0	109.2	121.0	60.0	72.0	100.0
(OPM)	11.5%	9.3%	8.7%	10.2%	12.8%	13.7%	14.6%	15.5%	12.0%	13.4%	14.4%	15.3%	16.1%	10.3%	12.0%	15.4%
(YoY)	-3.0%	-24.3%	-5.7%	29.8%	37.0%	12.1%	11.7%	10.9%	52.4%	21.1%	12.3%	11.4%	10.8%	26.8%	20.0%	
Operating Profit by segment																
Motion Control	38.2	23.0	24.4	43.9	56.8	63.5	70.7	78.3	48.7	58.5	65.5	72.9	80.8	42.0	47.0	52.0
Robot	25.1	23.8	20.4	15.9	25.6	29.0	32.7	36.5	23.6	28.9	32.5	36.2	40.0	21.0	26.0	45.0
System Engineering	5.6	4.6	5.0	5.9	6.0	6.1	6.2	6.3	4.2	4.3	4.4	4.5	4.6	3.2	4.0	4.0
Others	0.4	1.6	2.0	1.7	1.7	1.7	1.7	1.7	1.6	1.6	1.6	1.6	1.6	1.3		
Adjustments	-3.2	-2.8	-4.5	-6.0	-6.0	-6.0	-6.0	-6.0	-6.0	-6.0	-6.0	-6.0	-6.0	-7.5		
(OPM)																
Motion Control	14.7%	9.6%	10.3%	14.8%	17.3%	18.4%	19.4%	20.3%	16.9%	18.3%	19.4%	20.4%	21.3%	15.0%	16.2%	17.3%
Robot	10.7%	10.0%	8.3%	6.5%	9.5%	10.3%	11.1%	11.9%	9.4%	10.7%	11.5%	12.2%	13.0%	8.8%	10.4%	15.5%
System Engineering	10.2%	12.0%	12.9%	14.5%	14.5%	14.5%	14.5%	14.5%	10.5%	10.6%	10.6%	10.7%	10.7%	8.0%	10.0%	10.0%
Others	1.6%	6.9%	9.8%	8.5%	8.5%	8.5%	8.5%	8.5%	8.0%	8.0%	8.0%	8.0%	8.0%	6.5%		
(YoY)																
Motion Control	5.5%	-39.8%	6.0%	80.0%	29.4%	11.8%	11.3%	10.7%	99.7%	20.1%	12.0%	11.3%	10.8%	72.2%	11.9%	
Robot	-3.7%	-5.6%	-14.0%	-22.1%	61.0%	13.3%	12.8%	11.6%	15.6%	22.5%	12.5%	11.4%	10.5%	2.9%	23.8%	
System Engineering	119.0%	-18.3%	8.3%	16.3%	1.7%	1.7%	1.6%	1.6%	-15.8%	2.4%	2.3%	2.3%	2.2%	-35.9%	25.0%	
Others	-77%	282%	25%	-14%	0%	0%	0%	0%	-20%	0%	0%	0%	0%	-34.8%		
Factors behind Operating Profit changes																
Forex	5.7	4.8	-1.4	6.5	0.0	0.0	0.0	0.0	1.0	0.0	0.0	0.0	0.0	-3.3		
Sales Volume	-0.9	-23.0	4.3	18.3	25.2	14.4	14.3	15.2	30.5	23.5	14.9	14.9	15.8	27.1		
Added Value	11.8	0.7	-3.6	1.4	9.3	2.2	2.4	2.4	9.3	2.7	2.3	2.3	2.4	7.9		
Total Expenses	-11.0	1.7	-3.4	-10.8	-11.8	-6.4	-5.7	-6.1	-14.7	-11.0	-6.5	-6.0	-6.4	-17.7		
Others	-7.8	-0.2	1.2	-1.3	0.0	0.0	0.0	0.0	-1.3	0.0	0.0	0.0	0.0	-1.3		
Total	-2.2	-16.0	-2.9	14.1	22.7	10.2	11.0	11.5	24.8	15.2	10.7	11.2	11.8	12.7		
USD (JPY)	143.20	152.70	149.90	159.70	160.00	160.00	160.00	160.00	150.00	150.00	150.00	150.00	150.00	145.00	145.00	145.00
Euro (JPY)	155.10	164.00	172.80	181.23	180.00	180.00	180.00	180.00	180.00	180.00	180.00	180.00	180.00	170.00	170.00	170.00
RMB (JPY)	20.02	21.12	21.01	23.05	23.00	23.00	23.00	23.00	21.00	21.00	21.00	21.00	21.00	20.50	20.50	20.50
KRW (JPY)	0.109	0.111	0.105	0.109	0.110	0.110	0.110	0.110	0.110	0.110	0.110	0.110	0.110	0.105	0.105	0.105
EPS (JPY)	193.87	218.62	135.88	171.96	235.20	262.96	296.12	331.59	199.34	242.52	271.44	304.98	340.84	181.21		
DPS (JPY)	64.00	68.00	68.00	72.00	82.00	92.00	104.00	116.00	72.00	85.00	95.00	107.00	119.00	72.00		

Source: Company data, UBS estimates

Figure 18: Quarterly earnings forecast

(JPY bn)	FY2/24				FY2/25				FY2/26				FY2/27			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2E	Q3E	Q4E
Sales	142.5	146.5	135.4	151.3	132.4	129.2	132.1	144.0	125.6	134.6	135.0	146.9	139.0	147.0	150.7	165.8
(YoY)	18.5%	2.3%	-6.0%	1.9%	-7.1%	-11.8%	-2.4%	-4.8%	-5.1%	4.2%	2.2%	2.0%	10.6%	9.3%	11.6%	12.9%
Sales by segment																
Motion Control	69.5	67.4	61.2	62.0	59.4	60.1	58.9	60.4	55.7	57.2	58.0	65.2	67.6	71.5	75.9	81.3
AC Servo	37.5	33.7	29.8	29.0	27.9	28.2	27.7	30.8	27.8	28.6	29.0	35.0	33.8	36.5	39.7	42.8
Inverter	32.0	33.7	31.3	33.0	31.5	31.8	31.2	29.6	27.8	28.6	29.0	30.2	33.8	35.0	36.2	38.5
Robot	52.8	59.6	54.6	67.7	57.0	55.0	58.4	66.9	55.6	63.6	63.8	64.0	56.7	60.5	61.3	66.9
System Engineering	14.4	12.5	13.3	15.3	10.5	8.1	9.2	10.6	9.3	9.4	8.1	11.9	9.8	9.9	8.5	12.5
Others	5.8	7.0	6.3	6.3	5.5	5.9	5.6	6.1	5.1	4.4	5.1	5.8	4.8	5.2	5.0	5.1
(YoY)																
Energy Systems	25.0%	2.6%	-9.0%	-2.5%	-14.6%	-10.9%	-3.7%	-2.5%	-6.2%	-4.8%	-1.5%	7.9%	21.5%	25.0%	30.8%	24.7%
AC Servo	0.7%	-14.1%	-18.8%	-18.6%	-25.7%	-16.1%	-7.2%	6.2%	-0.3%	1.3%	4.8%	13.5%	21.5%	27.6%	36.9%	22.4%
Inverter	74.2%	27.2%	2.6%	17.9%	-1.6%	-5.6%	-0.4%	-10.1%	-11.6%	-10.2%	-7.0%	2.0%	21.5%	22.4%	24.8%	27.3%
Robot	18.5%	0.9%	-6.3%	9.3%	8.1%	-7.7%	7.1%	-1.3%	-2.5%	15.5%	9.2%	-4.4%	2.0%	-4.9%	-4.0%	4.6%
System Engineering	0.5%	21.6%	30.6%	-6.5%	-27.1%	-35.1%	-30.8%	-30.9%	-11.6%	16.1%	-11.6%	13.0%	5.9%	4.9%	4.6%	4.8%
Others	0.1%	-15.0%	-23.9%	-2.9%	-5.7%	-14.7%	-11.6%	-3.6%	-7.8%	-26.3%	-9.8%	-5.2%	-5.5%	18.6%	-1.1%	-11.9%
Order	137.2	124.8	128.3	110.1	135.1	126.3	120.5	126.7	127.5	134.0	138.5	152.4	163.8	165.9	156.5	153.3
(YoY)	-18.1%	-25.0%	-17.8%	-13.0%	-1.5%	1.2%	-6.1%	15.1%	-5.6%	6.1%	14.9%	20.3%	28.5%	23.8%	13.0%	0.6%
Order by segment																
Motion Control	58.6	48.5	48.3	44.7	56.8	55.6	50.6	53.7	55.4	58.2	67.9	78.9	82.1	81.9	78.0	78.3
Robot	58.4	53.0	63.1	50.1	65.2	54.6	55.9	54.9	61.4	58.3	58.2	50.8	69.7	66.3	65.0	57.4
System Engineering	14.2	16.8	10.5	9.6	7.4	10.0	8.6	12.1	5.4	12.6	7.7	17.0	6.8	12.9	8.5	12.5
Others	6.0	6.5	6.4	5.7	5.7	6.1	5.4	6.0	5.3	4.9	4.7	5.7	5.2	4.8	5.0	5.1
(YoY)																
Motion Control	-26.6%	-38.2%	-18.5%	-16.4%	-3.1%	14.6%	4.8%	20.1%	-2.5%	4.7%	34.2%	46.9%	48.2%	40.7%	14.9%	-0.8%
Robot	-10.3%	-15.1%	-6.0%	-8.1%	11.6%	3.0%	-11.4%	9.6%	-5.8%	6.8%	4.1%	-7.5%	13.5%	13.7%	11.7%	13.0%
System Engineering	-10.7%	-1.2%	-48.3%	-26.7%	-47.9%	-40.5%	-18.1%	26.0%	-27.0%	26.0%	-10.5%	40.5%	25.9%	2.4%	10.4%	-26.5%
Others	-11.8%	-22.6%	-31.9%	3.6%	-5.0%	-6.2%	-15.6%	5.3%	-7.0%	-19.7%	-13.0%	-5.0%	-1.9%	-2.0%	6.4%	-10.5%
Operating Profit	16.5	16.6	13.5	19.7	11.1	11.8	11.4	15.8	10.5	12.8	9.9	14.1	8.5	12.1	18.4	22.4
(OPM)	11.5%	11.3%	10.0%	13.0%	8.4%	9.1%	8.6%	11.0%	8.4%	9.5%	7.3%	9.6%	6.1%	8.2%	12.2%	13.5%
(YoY)	17.9%	-4.0%	-20.1%	-2.4%	-32.4%	-28.9%	-15.6%	-19.5%	-5.5%	8.7%	-13.4%	-10.9%	-19.2%	-5.6%	86.6%	58.7%
Operating Profit by segment																
Motion Control	9.8	10.6	8.1	9.7	5.6	5.4	5.0	7.0	5.0	7.0	4.4	8.0	7.6	9.8	12.5	14.0
Robot	6.2	6.8	5.6	6.6	4.8	5.8	5.5	7.6	5.0	5.5	4.9	4.9	0.9	2.6	5.5	6.9
System Engineering	1.0	0.2	0.5	4.0	1.1	0.8	1.2	1.6	1.0	0.9	0.8	2.3	1.9	0.9	0.8	2.3
Others	0.0	0.0	0.1	0.3	0.2	0.6	0.2	0.6	0.4	0.6	0.5	0.6	0.2	0.5	0.4	0.6
Adjustments	-0.6	-1.0	-0.7	-1.0	-0.6	-0.8	-0.5	-0.9	-1.0	-1.2	-0.7	-1.7	-2.1	-1.7	-0.8	-1.4
(OPM)																
Motion Control	14.2%	15.7%	13.2%	15.7%	9.5%	9.0%	8.5%	11.6%	9.0%	12.2%	7.5%	12.3%	11.2%	13.8%	16.5%	17.2%
Robot	11.7%	11.4%	10.2%	9.7%	8.4%	10.6%	9.4%	11.4%	9.0%	8.7%	7.7%	7.7%	1.6%	4.3%	9.0%	10.3%
System Engineering	6.8%	1.5%	3.5%	26.2%	10.1%	10.0%	12.5%	15.0%	11.1%	9.7%	9.7%	18.9%	19.6%	8.9%	9.4%	18.4%
Others	-0.3%	0.3%	1.2%	5.3%	4.5%	9.8%	3.6%	9.2%	7.5%	12.6%	9.0%	10.3%	4.0%	9.8%	8.0%	11.8%
(YoY)																
Motion Control	43.7%	18.2%	-21.9%	-3.6%	-42.9%	-49.1%	-38.3%	-27.8%	-10.5%	29.8%	-12.6%	14.2%	50.1%	40.8%	187.0%	74.9%
Robot	86.2%	-10.1%	-17.8%	-22.2%	-22.6%	-14.7%	-0.8%	15.9%	4.5%	-4.7%	-10.5%	-35.4%	-82.3%	-52.8%	11.3%	39.8%
System Engineering	-5.8%	-330.5%	-400.0%	126.5%	7.3%	331.2%	149.1%	-60.4%	-2.5%	11.8%	-31.3%	42.5%	86.9%	-3.5%	1.1%	1.8%
Others	-118.1%	-91.6%	-65.7%	-72.5%	-1760.0%	2430.4%	171.6%	67.4%	53.4%	-5.0%	126.9%	6.8%	-49.5%	-8.3%	-12.3%	0.5%

Source: Company data, UBS estimates

Yaskawa Electric (6506.T)

Income Statement (¥b)	02/24	02/25	02/26	02/27E	%ch	02/28E	%ch	02/29E	02/30E	02/31E
Revenues	575.7	537.7	542.1	602.5	11.1	657.9	9.2	689.5	721.0	754.3
Gross profit	209.1	191.5	191.2	221.6	15.9	255.3	15.2	272.0	285.6	301.6
EBITDA (UBS)	87.6	71.0	68.4	87.4	27.8	113.1	29.4	125.3	137.3	149.8
Depreciation & amortisation	(21.3)	(20.8)	(21.1)	(26.0)	-23.3	(29.0)	-11.5	(31.0)	(32.0)	(33.0)
EBIT (UBS)	66.2	50.2	47.3	61.4	29.8	84.1	37.0	94.3	105.3	116.8
Associates & investment income	4.4	2.8	0.8	1.0	30.5	1.2	20.0	1.2	1.2	1.2
Other non-operating income	0.1	26.8	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Net interest	(1.6)	(1.3)	1.5	(1.2)	-	(1.5)	-25.0	(1.8)	(1.0)	0.2
Exceptionals (incl goodwill)	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Pre-tax profit	69.1	78.5	49.6	61.2	23.5	83.8	36.9	93.7	105.5	118.2
Tax	(17.5)	(20.8)	(13.0)	(15.7)	-20.9	(21.5)	-36.9	(24.1)	(27.1)	(30.4)
Profit after tax	51.6	57.7	36.6	45.5	24.4	62.3	36.9	69.6	78.4	87.8
Preference dividends	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Minorities	(0.9)	(0.7)	(1.3)	(0.9)	32.9	(1.3)	-44.4	(1.4)	(1.6)	(1.8)
Extraordinary items	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Net profit (reported)	50.7	57.0	35.2	44.6	26.6	61.0	36.8	68.2	76.8	86.0
Net earnings (UBS)	50.7	57.0	35.2	44.6	26.6	61.0	36.8	68.2	76.8	86.0
Tax rate (%)	25.3	26.5	26.2	25.7	-2.0	25.7	0.0	25.7	25.7	25.7
Per Share (¥)	02/24	02/25	02/26	02/27E	%ch	02/28E	%ch	02/29E	02/30E	02/31E
EPS (UBS, diluted)	193.7	218.4	135.7	171.8	26.6	234.9	36.8	262.6	295.8	331.2
EPS (local GAAP, diluted)	193.7	218.4	135.7	171.8	26.6	234.9	36.8	262.6	295.8	331.2
EPS (UBS, basic)	193.9	218.6	135.9	172.0	26.6	235.2	36.8	263.0	296.1	331.6
DPS (net) (¥)	64.0	68.0	68.0	72.0	5.9	82.0	13.9	92.0	104.0	116.0
Cash EPS (UBS, diluted) ¹	275.2	298.2	217.0	271.9	25.3	346.6	27.5	382.0	419.0	458.3
Book value per share	1,527.8	1,616.8	1,864.4	1,964.4	5.4	2,117.6	7.8	2,288.6	2,480.7	2,696.3
Average shares (diluted)	261.7	261.0	259.7	259.7	0.0	259.7	0.0	259.7	259.7	259.7
Balance Sheet (¥b)	02/24	02/25	02/26	02/27E	%ch	02/28E	%ch	02/29E	02/30E	02/31E
Cash and equivalents	44.7	63.3	64.4	58.1	-9.8	47.5	-18.1	71.3	101.9	138.7
Other current assets	411.4	399.5	407.1	424.1	4.2	460.1	8.5	480.6	501.1	522.7
Total current assets	456.1	462.8	471.5	482.1	2.2	507.6	5.3	551.9	602.9	661.4
Net tangible fixed assets	115.7	129.1	164.0	193.0	17.7	214.0	10.9	218.0	221.0	223.0
Net intangible fixed assets	26.8	30.8	37.6	37.6	0.0	37.6	0.0	37.6	37.6	37.6
Investments / other assets	103.8	121.1	139.3	140.3	0.7	141.5	0.9	142.7	143.9	145.1
Total assets	702.3	743.8	812.4	853.0	5.0	900.6	5.6	950.2	1,005.4	1,067.1
Trade payables & other ST liabilities	157.8	150.3	134.8	149.4	10.8	156.0	4.5	159.8	163.6	167.6
Short term debt	31.4	29.2	56.4	50.0	-11.3	50.0	0.0	50.0	50.0	50.0
Total liabilities	189.1	179.5	191.2	199.4	4.3	206.0	3.3	209.8	213.6	217.6
Long term debt	54.4	71.2	64.5	70.0	8.6	70.0	0.0	70.0	70.0	70.0
Other long term liabilities	50.8	53.5	63.1	63.1	0.0	63.1	0.0	63.1	63.1	63.1
Preferred shares	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Total liabilities (incl pref shares)	294.3	304.2	318.7	332.5	4.3	339.2	2.0	343.0	346.7	350.7
Common s/h equity	399.3	431.2	483.5	509.5	5.4	549.2	7.8	593.5	643.4	699.3
Minority interests	8.7	8.4	10.1	11.0	8.9	12.3	11.8	13.7	15.3	17.1
Total liabilities & equity	702.3	743.8	812.4	853.0	5.0	900.6	5.6	950.2	1,005.4	1,067.1
Cash Flow (¥b)	02/24	02/25	02/26	02/27E	%ch	02/28E	%ch	02/29E	02/30E	02/31E
Net income (before pref divs)	50.7	57.0	35.2	44.6	26.6	61.0	36.8	68.2	76.8	86.0
Depreciation & amortisation	21.3	20.8	21.1	26.0	23.3	29.0	11.5	31.0	32.0	33.0
Net change in working capital	(10.9)	1.7	1.6	(2.3)	-	(29.4)	NM	(16.7)	(16.7)	(17.6)
Other operating	(6.5)	(23.0)	(5.8)	(0.1)	98.3	0.1	-	0.2	0.4	0.6
Operating cash flow	54.6	56.5	52.2	68.2	30.7	60.7	-10.9	82.7	92.5	102.0
Tangible capital expenditure	(31.0)	(37.3)	(46.2)	(55.0)	-18.9	(50.0)	9.1	(35.0)	(35.0)	(35.0)
Intangible capital expenditure	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Net (acquisitions) & disposals	0.0	0.0	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Other investing	1.7	16.0	2.0	0.0	-	0.0	-	0.0	0.0	0.0
Investing cash flow	(29.3)	(21.3)	(44.2)	(55.0)	-24.4	(50.0)	9.1	(35.0)	(35.0)	(35.0)
Equity dividends paid	(16.8)	(17.3)	(17.7)	(18.7)	-5.7	(21.3)	-13.9	(23.9)	(27.0)	(30.1)
Share issues / (buybacks)	(0.6)	(9.4)	0.0	0.0	-	0.0	-	0.0	0.0	0.0
Other financing	(4.1)	(4.7)	(4.4)	0.0	-	0.0	-	0.0	0.0	0.0
Change in debt & pref shares	(8.0)	15.8	13.5	(0.9)	-	0.0	-	0.0	0.0	0.0
Financing cash flow	(29.4)	(15.7)	(8.6)	(19.5)	-126.4	(21.3)	-8.9	(23.9)	(27.0)	(30.1)
Cash flow inc/(dec) in cash	(4.1)	19.5	(0.7)	(6.3)	NM	(10.5)	-66.4	23.8	30.5	36.9
FX / non cash items	2.1	(0.9)	1.7	0.0	-	0.0	-	0.0	0.0	0.0
Balance sheet inc/(dec) in cash	(2.1)	18.6	1.1	(6.3)	-	(10.5)	-66.4	23.8	30.5	36.9

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Yaskawa Electric (6506.T)

Valuation (x)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
P/E (local GAAP, diluted)	29.6	23.5	27.9	31.9	23.3	20.8	18.5	16.5
P/E (UBS, diluted)	29.6	23.5	27.9	31.9	23.3	20.8	18.5	16.5
P/CEPS	20.8	17.2	17.4	20.1	15.8	14.3	13.0	11.9
Equity FCF (UBS) yield %	1.6	1.4	0.6	0.9	0.8	3.4	4.1	4.7
Dividend yield (net) %	1.1	1.3	1.8	1.3	1.5	1.7	1.9	2.1
P/BV	3.7	3.2	2.0	2.8	2.6	2.4	2.2	2.0
EV/revenues (core)	2.6	2.5	1.8	2.4	2.2	2.1	2.0	1.9
EV/EBITDA (UBS core)	17.4	19.2	14.4	16.2	12.6	11.3	10.3	9.5
EV/EBIT (core)	23.0	27.2	20.8	23.1	17.0	15.1	13.5	12.2
EV/OpFCF (core)	19.6	22.4	16.8	18.3	13.8	12.3	11.2	10.2
EV/op. invested capital	3.8	3.2	2.2	2.9	2.7	2.5	2.4	2.3
Enterprise value (¥b)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
Market cap.	1,497.9	1,366.9	995.1	1,419.2	1,419.2	1,419.2	1,419.2	1,419.2
Net debt (cash)	42.5	39.1	46.8	59.2	67.2	60.6	60.6	60.6
Buy out of minorities	8.1	8.6	9.2	10.5	11.6	13.0	14.5	16.2
Pension provisions/other	28.8	28.2	26.7	26.0	26.0	26.0	26.0	26.0
Total enterprise value	1,577.3	1,442.7	1,077.9	1,514.9	1,524.0	1,518.7	1,520.2	1,521.9
Non core assets	(56.7)	(79.1)	(95.9)	(96.9)	(98.1)	(99.3)	(100.5)	(101.7)
Core enterprise value	1,520.6	1,363.6	981.9	1,417.9	1,425.8	1,419.4	1,419.7	1,420.2
Growth (%)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
Revenue	3.5	(6.6)	0.8	11.1	9.2	4.8	4.6	4.6
EBITDA (UBS)	(0.5)	(18.9)	(3.6)	27.8	29.4	10.8	9.6	9.1
EBIT (UBS)	(3.0)	(24.3)	(5.7)	29.8	37.0	12.1	11.7	10.9
EPS (UBS, diluted)	(2.1)	12.7	(37.9)	26.6	36.8	11.8	12.6	12.0
Net DPS	0.0	6.3	0.0	5.9	13.9	12.2	13.0	11.5
Margins & Profitability (%)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
Gross profit margin	36.3	35.6	35.3	36.8	38.8	39.4	39.6	40.0
EBITDA margin	15.2	13.2	12.6	14.5	17.2	18.2	19.0	19.9
EBIT (UBS) margin	11.5	9.3	8.7	10.2	12.8	13.7	14.6	15.5
Net earnings (UBS) margin	8.8	10.6	6.5	7.4	9.3	9.9	10.7	11.4
ROIC (EBIT)	16.6	11.9	10.5	12.4	15.7	16.5	17.8	19.1
ROIC post tax	12.1	8.6	7.7	9.2	11.6	12.2	13.2	14.1
ROE (UBS)	13.6	13.7	7.7	9.0	11.5	11.9	12.4	12.8
Capital structure & Coverage (x)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
Net debt / EBITDA	0.5	0.5	0.8	0.7	0.6	0.4	0.1	(0.1)
Net debt / total equity %	10.1	8.4	11.4	11.9	12.9	8.0	2.8	(2.6)
Net debt / (net debt + total equity) %	9.1	7.8	10.3	10.6	11.4	7.4	2.7	(2.7)
Net debt/EV %	2.7	2.7	4.3	3.9	4.4	4.0	2.2	0.0
Capex / depreciation %	145.4	179.1	NM	NM	172.4	112.9	109.4	106.1
Capex / revenue %	5.4	6.9	8.5	9.1	7.6	5.1	4.9	4.6
EBIT / net interest	44.0	41.6	-	52.0	56.9	53.1	NM	-
Dividend cover (UBS)	3.0	3.2	2.0	2.4	2.9	2.9	2.8	2.9
Div. payout ratio (UBS) %	33.0	31.1	50.0	41.9	34.9	35.0	35.1	35.0
Revenues by division (¥b)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
Motion Control	260.0	238.8	236.1	296.3	327.5	345.2	364.3	384.8
Robot	234.7	237.4	247.0	245.4	268.9	282.1	293.8	305.9
System Engineering	55.5	38.4	38.7	40.7	41.4	42.1	42.8	43.5
Others	25.5	23.2	20.3	20.1	20.1	20.1	20.1	20.1
Others	0.0	(0.1)	0.0	0.0	0.0	0.0	0.0	0.0
Total	575.7	537.7	542.1	602.5	657.9	689.5	721.0	754.3
EBIT (UBS) by division (¥b)	02/24	02/25	02/26	02/27E	02/28E	02/29E	02/30E	02/31E
Motion Control	38.2	23.0	24.4	43.9	56.8	63.5	70.7	78.3
Robot	25.1	23.8	20.4	15.9	25.6	29.0	32.7	36.5
System Engineering	5.6	4.6	5.0	5.9	6.0	6.1	6.2	6.3
Others	0.4	1.6	2.0	1.7	1.7	1.7	1.7	1.7
Others	(3.1)	(2.8)	(4.5)	(6.0)	(6.0)	(6.0)	(6.0)	(6.0)
Total	66.2	50.2	47.3	61.4	84.1	94.3	105.3	116.8

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	29.0%
Forecast dividend yield	1.3%
Forecast stock return	30.4%
Market return assumption	7.9%
Forecast excess return	22.4%

Company Description

Yaskawa Electric manufactures industrial robots, servo motors, and inverters. It is the world's leading maker of servo motors, its main product category. The company is one of the world's four-largest manufacturers of industrial robots. Yaskawa is pursuing a solutions-based business model through i3-Mechatronics.

Valuation Method and Risk Statement

Our price target is based on the PER. Downside risks include 1) weak production volume for Japanese, European and US automakers, 2) sluggish capex due to economic deterioration in Japan, Europe, the US and China, 3) higher-than-expected increases in costs such as labour, logistics, and materials, 4) deterioration in the competitive environment, and 5) yen appreciation.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Yaskawa Electric

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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Company Name	Reuters	12-month rating	Price	Price date
Yaskawa Electric ²⁸	6506.T	Buy	¥5,472	17 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

28. UBS holds a long position of 0.5% or more of the listed shares of this company.

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Yaskawa Electric (¥)



Date	Stock Price (¥)	Price Target (¥)	Rating
2023-05-17	5490	6500	Buy
2023-06-22	6619	10000	Buy
2023-10-07	5353	9000	Buy
2024-01-18	5666	8500	Buy
2024-03-08	6717	-	No Rating
2024-12-09	4016	4380	Neutral
2025-02-21	4411	4680	Neutral
2025-06-26	3280	3460	Neutral
2025-08-01	3187	3380	Neutral
2025-10-09	4030	5000	Buy
2025-12-11	4917	6000	Buy
2026-02-25	5403	6690	Buy
2026-05-07	5973	6960	Buy
2026-06-03	7152	8000	Buy

Source: UBS Global Research; LSEG Eikon as of 17-Aug-2026. All prices as of local market close. Ratings as of date shown.

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